Australia's Trade in Goods Account, May

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15:30 July 02 2026

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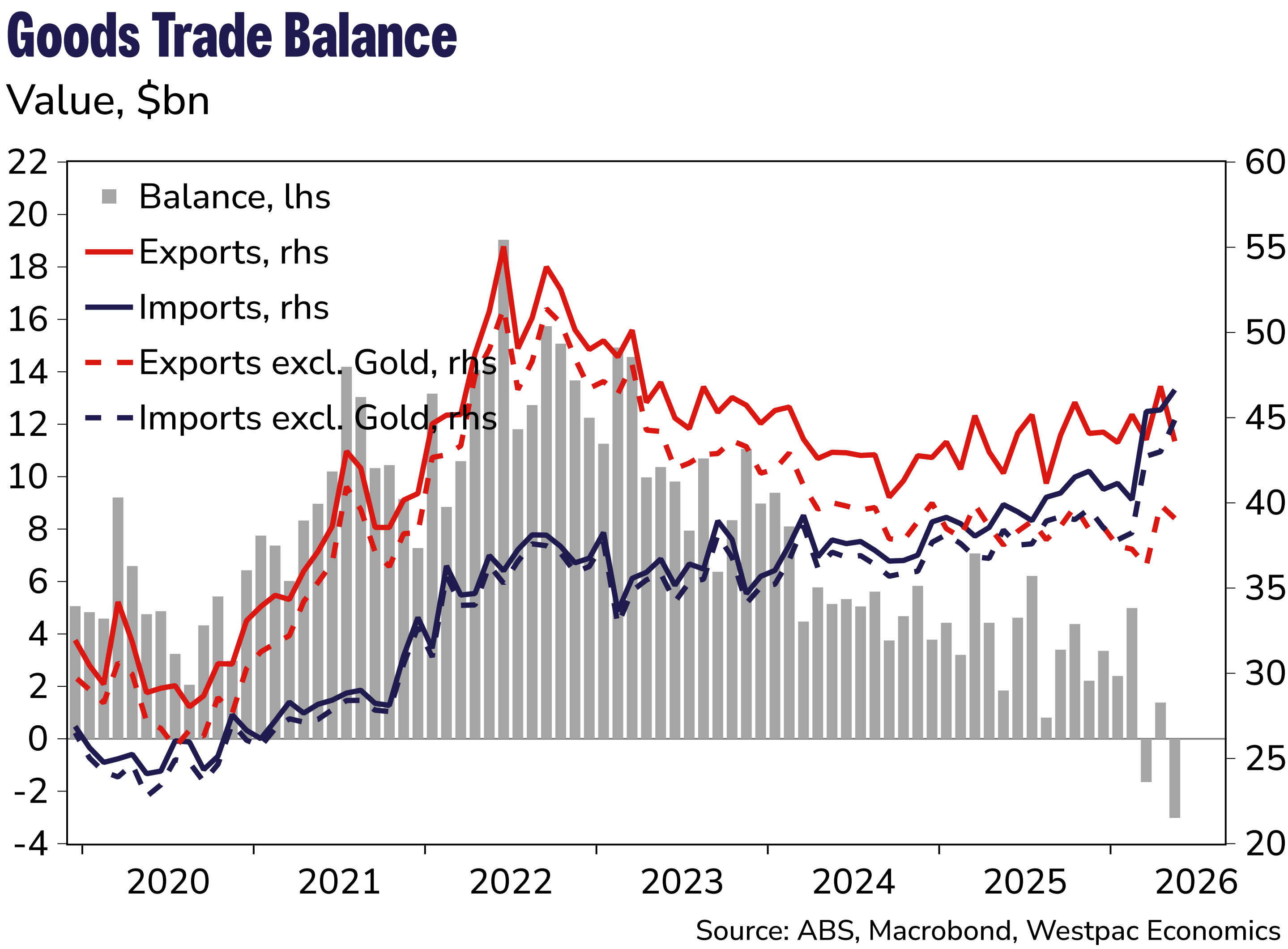
Trade data remained volatile amid sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Trade balance: -$3.0bn. Export values: -6.9%mth. Import values: 2.6%mth.

The latest trade data surprised to the downside, with the headline goods trade balance falling back below zero in May, just one month after moving back into surplus. The $3.0bn deficit was the largest since the end of 2015. The detail suggests that several factors on both the export and import sides are pulling the balance in different directions. These include sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Most of these influences are likely to persist for some time – in some cases into the medium term – suggesting that trade data are likely to remain volatile.



Exports

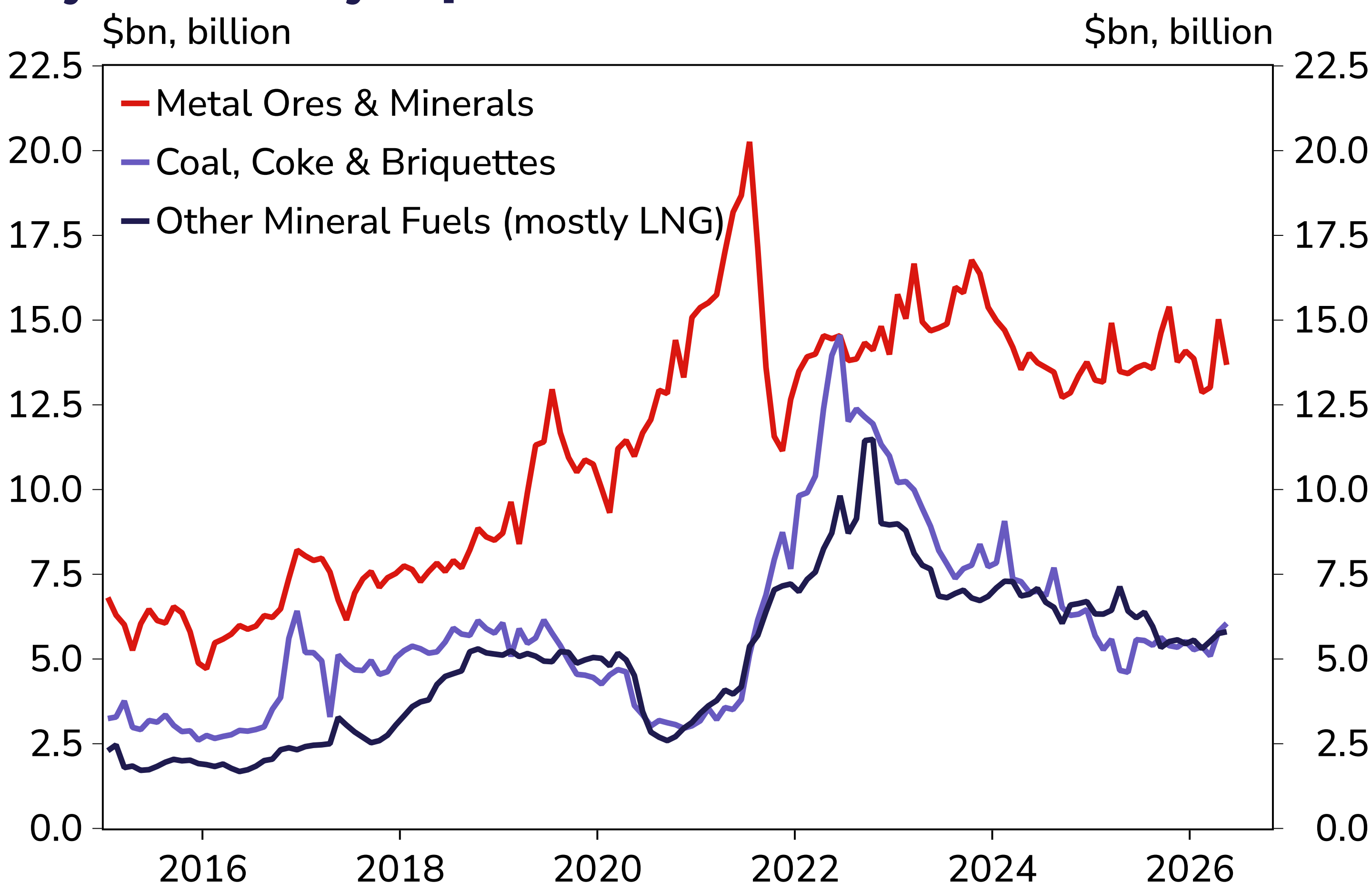
Export earnings fell 6.9%mth in May, one of the weakest results in recent months. This followed a 7.2%mth increase in April and taken together over these two months exports remained 2.5% above their March quarter levels.

- The monthly decline was largely driven by non-monetary gold, which fell 35%mth and accounted for around three-quarters the total weakening in exports. Gold prices have been declining from their peak in early March, and the trend tiled further down in June, signalling a further downward adjustment in exports values going forward.
- Iron ore exports declined 9.0%mth. However, this largely unwound a 15% increase in April, leaving export levels close to their average over the previous twelve months. ABS detail indicates that both

volumes and prices contributed to the decline. With market prices having eased further recently, this drag is likely to persist into June.

- Among other major categories, coal and LNG exports rose by 4.2%mth and 0.9%, respectively. Given strong increases in preceding months, this points to a solid quarterly lift in the June quarter. Rural exports also increased, supported by higher meat exports.

Key Commodity Exports



Source: ABS, Macrobond, Westpac Economics

Imports

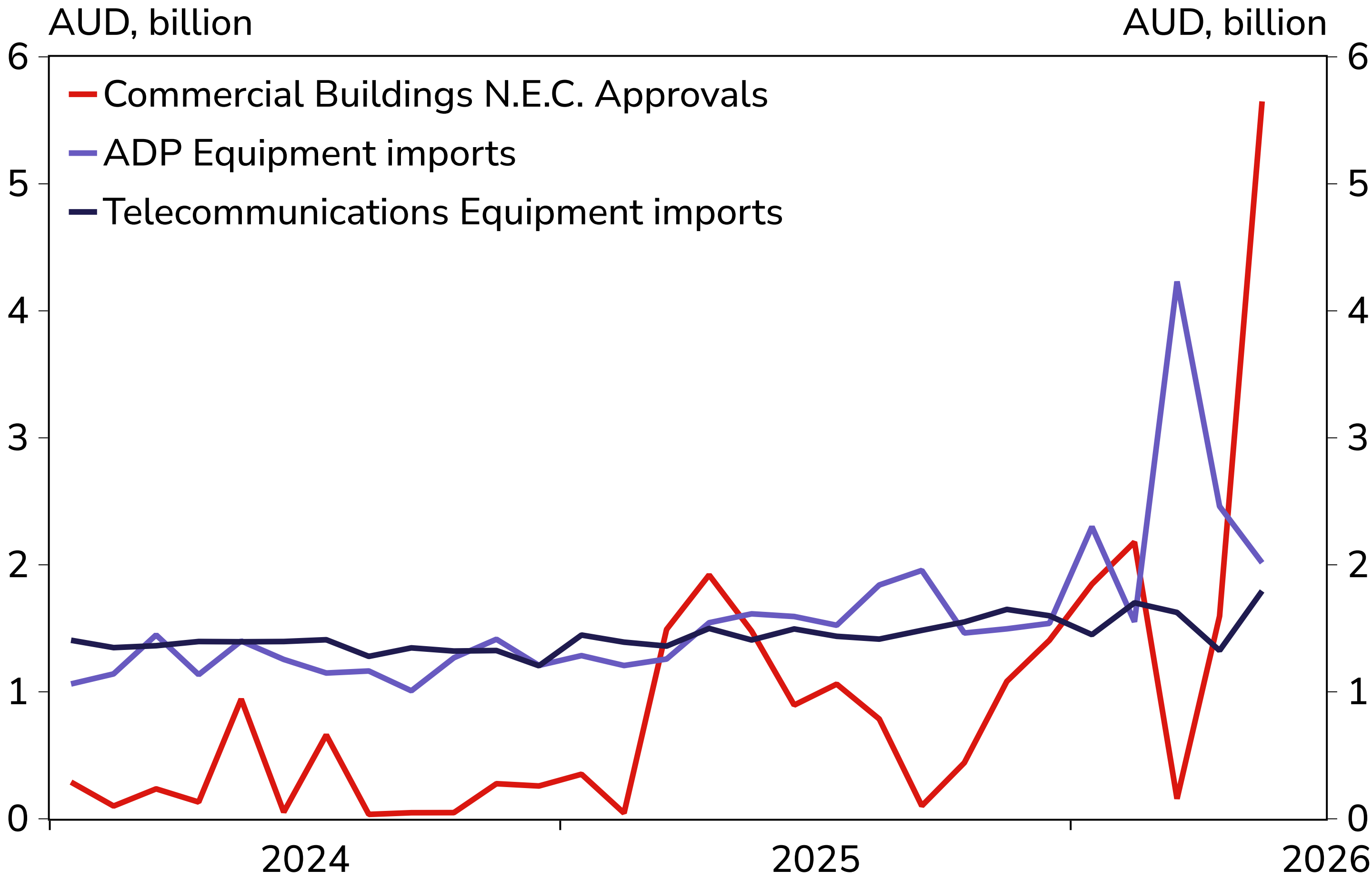
Import values rose 2.6%mth. Following an almost 13% increase in March and little change in April, this suggests that import growth in the June quarter has been strong to date.

- As on the export side, non-monetary gold imports fell sharply, down almost 28%mth. Excluding gold, imports growth was a particularly strong 4.3%mth.
- Fuel imports, which had doubled over the previous two months, were broadly unchanged. ABS estimates suggest that prices declined in May, with this effect likely to intensify, implying that fuel import values may begin to ease.
- The March quarter national accounts highlighted a strong increase in data centre investment. As many fit-out components are imported, the trade data provide a partial guide to this activity. Automated Data Processing (ADP) imports fell almost 20%mth in May, marking a second consecutive steep decline. However, following the surge in March – when values nearly tripled –

levels remain above historical norms. Telecommunications equipment, which is also most likely used in data centres, rose 35% after softer outcomes in the prior two months.

- Civil aircraft imports – a volatile component – rose by more than 150%, contributing to an 8.2%mth increase in capital goods imports.
- Consumption goods imports rose at a very similar pace, with transport equipment imports the standout category, increasing by almost 25%mnth. This category appears to be gathering momentum and is likely to reflect higher imports of EVs, as consumers respond to elevated fuel prices and a broader range of EVs becomes available in the domestic market.

Data centre equipment imports and building approvals



Source: ABS, Macrobond, Westpac Economics

Looking ahead

Outcomes for both exports and imports in coming months are likely to be influenced by the dynamics in key commodity markets. With several key prices having declined recently, softer results in major trade categories – including commodity exports and fuel imports – appear likely in June.

The headline trade balance will also be influenced by the evolution of data centre investment. Our previous analysis has highlighted the significant expansion potential in this sector and its broader economic implications. However, the latest trade data illustrate that this expansion is likely to proceed unevenly, with imports associated with the build-out remaining lumpy. Importantly, capital goods imports associated with data centre fit-outs provide only a partial view of the underlying activity. Construction activity, which relies more heavily on domestic inputs and labour, represents another major component of the build-out. The strength of this activity was reflected in the non-residential building approvals data released yesterday, which showed a substantial increase over recent months.

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